The real punch – the banks argue that they are not doing anything wrong by charging all their outrageous fees and secret interest rate increases. They are abiding by all the existing government regulations. That should tell you right there that the regulations are pretty loose. It is pretty easy to stay within the lines if there are no lines. And if there is a law that the credit card companies and banking industry do not want to comply with, they just ask their pals in Congress to change the law!

3. Subprime mortgage defaults and home foreclosures are at an all-time high. A subprime mortgage is the term for a mortgage loan given to someone with a bad credit history. The lender often tries to imply that they are doing a favor by providing a loan at all. It is a self-serving favor, and now has become a nightmare.

   Several years ago, the government launched a joint effort with the banks to make home buying "easier." Loans with low interest rates and longer terms appeared. The banks and the government considered it a great success. Many people were able to become homeowners. Then after the first year or two, the low interest rates skyrocketed – an easy tactic to get the mortgage holder to refinance again. That means more closing costs for the bank to collect, along with the chance of raising the interest rate again.

   Borrowers were often talked into an increased mortgage amount as well, and with dropping home prices in some areas, they owe more on the loan than their home is now worth. Recently there were an unprecedented number of homes that rolled over into the higher rate of their adjustable rate mortgage and people simply could not make the higher payments. They owe more than the value of their homes and they bailed. A record number of foreclosures rocked the financial world. In a nutshell, the mortgage companies had given loans to people they never should have given loans to and then they feigned surprise when the bottom fell out. Hard working American citizens are losing their homes every day while the fat cats are buying up vacation properties. We'll delve more into this later.

4. Three little words: Student loan scandal. The student loan industry is huge. $85 billion huge. So I guess these lenders had enough cash sitting around to pay off college officials to